# Arvind Ltd

Concall Tracker · Q2 2027 · first report

## 1. Snapshot

Textile group making denim and woven fabric and garments for global brands, plus an Advanced Materials business (protective gear, composites, industrial fabrics) that now includes Dalco-GFT in the US. It earns on the full chain from fabric to finished garment and on high-tech technical textiles.

| Number | Value | What it means |
|---|---|---|
| Market cap | Rs 13,586 cr | What the market values the whole company at (Screener). |
| Q2 FY27 revenue | Rs 2,919 cr | Up 23% and a record; includes a full quarter of Dalco-GFT. |
| Q2 FY27 EBITDA | Rs 331 cr, margin 11.4% | Up 27%, a record; margin held despite costlier inputs. |
| Q2 FY27 profit | Rs 123 cr | Up 16% on last year. |
| Net debt | Rs 2,063 cr | Down about Rs 95 cr in the quarter; a QIP raised about Rs 500 cr to repay the acquisition loan in May 2027. CARE upgraded the rating to AA. |
| Stock P/E | 48.3x | Expensive for a textile company (Screener). |

## 2. Concall coverage

| Quarter | Date | Transcript read? |
|---|---|---|
| Q3 FY26 | 30 Jan 2026 | Yes (key passages) |
| Dalco-GFT acquisition call | 7 May 2026 | Yes (key passages) |
| Q1 FY27 | 13 Aug 2026 | Yes (from the company website, linked in the NSE filing) |
| Q2 FY27 | 28 Oct 2026 | Yes, read in full ★ (from the company website, linked in the NSE filing) |

Only four calls were available in the download, covering about nine months. Screener's links were missing for the two latest calls, so they came from the company site. The consistency read is therefore limited.

### Latest concall highlights: Q2 FY27 (28 Oct 2026)

- Record revenue (+23%) and EBITDA (+27%). Denim volume over 18 million metres, the highest in 17 quarters, up 19%; woven 34 million metres; garments over 11 million pieces for a second quarter.
- Advanced Materials revenue Rs 805 cr, up 81% with Dalco-GFT; India business up 23% for a fifth strong quarter, from protective gear and composites, including Indian defence orders. Margin 14.8%.
- Guidance: Advanced Materials growth of 18%-plus in Q3; garments back to mid-teens growth for the year with a stronger H2; Q3 order book 'extremely strong'. Capex above Rs 500 cr in FY27.
- New: Varanasi garment plant Phase 1 commissioned (Rs 250 cr revenue potential for Rs 75 cr capex); denim design hub in Amsterdam; first Egypt denim deliveries in Q3; Bangladesh garment conversion running.
- Costs: raw material and logistics inflation is outrunning price hikes, costing about 75-100 basis points of gross margin each quarter. Industrial capacity was delayed about 1.5 quarters by shipping problems.

### Business mix & capacity

**Domestic vs export:** Not split into domestic and export in the call; the business serves global apparel brands (US, UK, Europe) and Indian defence, with Dalco-GFT in the US.

**Capacity use:** Denim about 70 million metres a year, now close to full; wovens about 140-150 million metres; garment capacity to rise about 15% this year. Protective gear and composites near full use.

## 3. Earning Trigger thesis

Arvind's trigger is the Advanced Materials business, now bigger after buying Dalco-GFT in the US. It sells protective gear and composites to defence, aerospace, data centres and industry, grows far faster than textiles and earns higher margins. On the textile side, denim volumes are at a four-year high, garments add capacity (Varanasi) and new trade deals with the UK and EU should bring more orders. The problem is cost inflation from the conflicts: margins are flat rather than rising as management wanted.

| Trigger | What management said | Evidence so far | Time horizon | Strength |
|---|---|---|---|---|
| Advanced Materials (incl. Dalco-GFT) | 18-20% growth aspiration (Jan 2026); 18%-plus in Q3 | India +23%, total +81% with Dalco | FY27-FY28 | Strong |
| Garment expansion | Mid-teens growth; a bigger greenfield plan being drawn up | Garment revenue +9% in Q2; Varanasi Phase 1 live | FY27-FY28 | Moderate |
| UK and EU trade deals | UK orders from about Q4; maybe USD 10-12 million extra next year | Not yet in numbers | FY28 | Unproven |
| Margin up 0.5% a year | Stated objective from about 11.5% last year | 11.4% in Q2 FY27 | FY27-FY28 | Weak for now |

## 3b. Trigger check

| Trigger type | Yes/ No | What was said (date) |
|---|---|---|
| Debt cut | No | Net debt fell about Rs 95 cr this quarter, but acquisition debt will only be repaid in May 2027; long-term debt to stay at pre-Dalco level. |
| New business | Yes | Dalco-GFT's first full quarter; carbon composite capacity for drones, aerospace and defence (28 Oct 2026). |
| Margin up | No | Margin held at 11.4%; input costs eroding 75-100 bps of gross margin each quarter. |
| New management | No | No change. |
| New capacity | Yes | Varanasi garment Phase 1 commissioned; denim debottlenecking and garment capacity up about 15% (28 Oct 2026). |
| Big orders | Yes | Prestigious Indian defence orders in Advanced Materials; Q3 order book 'extremely strong' (28 Oct 2026). |
| Turnaround | No | Not a turnaround. |
| Promoter buying | No | Not mentioned; a QIP was done instead. |

**The single concrete driver:** The Advanced Materials arm, now with Dalco-GFT in the US, is growing fast on defence, aerospace and industrial demand, while denim and garment capacity keep rising.

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Jan 2026 | Advanced Materials 18-20% growth | India business +23% in Q2 FY27; fifth strong quarter | Delivered |
| May 2026 | Dalco-GFT bought; track record of about 10% growth at a 17% margin | Growing 9-10% on plan; Q1 margin 15.1% (16.3% full quarter), squeezed by petrochemical costs, price hikes accepted from September | Partly |
| Aug 2026 | Garment mid-teens growth | H1 garment revenue growth single digits; H2 expected to catch up | Too-early |
| Ongoing | Margin up about 0.5% a year | Flat at about 11.4% under cost inflation | Missed so far |
| | New industrial capacity this year | Delayed about 1.5 quarters by logistics; now running | Partly |

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Aug 2026 | | | |

**Narrative drift:** The story is steady: fabric to garments to technical textiles, with Advanced Materials as the growth engine. Management is candid that cost escalations keep wiping out its margin work. The short window of calls read limits how far back the record can be checked.

## 5. Bottom line

### Durable earning trigger? → YES

Advanced Materials is a named, growing driver already showing in record numbers, helped by Dalco-GFT and defence orders, with denim and garment capacity adding more.

### Management consistent? → MAYBE

Advanced Materials delivered what was promised, but the margin goal and garment growth are behind and new capacity was delayed. Only four calls were read, so this is a thin record.

### 6. Checkpoints for next quarter

- Advanced Materials grows 18% or more in Q3 FY27
- Garment revenue growth picks up to mid-teens in H2
- EBITDA margin holds at about 11% or better

This is not investment advice. Do your own due diligence.